merged ONGC and HPCL could remain in the public sector and every other company, including OIL and IOC, sold over the next five years.

Seventh, all the mineral wealth of India belongs to the government. The Centre and states have divided it between them. To get the minerals and metals out of the womb of the earth, the government first set up the public sector and gave it mining licences at throwaway costs and royalties. When the private sector was brought into steel, oil and gas, aluminium, coal and other mineral sectors, the regime of concessions and cess, royalties and other multiple charges levied became a highly complex one. All these policies, laws and practices need to be drastically reformed to make it an efficient regime.

These reforms are absolutely necessary to make mining and quarrying contribute about 10 per cent of industrial GDP of India, or about 2.5 per cent of the $10 trillion, in 2035. These reforms will also be positive from an environmental perspective.

## Unleashing the Dynamism of Manufacturing in India

The industrial policy reforms of 1991 brought private industry back into manufacturing. Indian industry could produce a number of products, including machinery and chemicals, which could also be exported successfully. The financial sector, especially banks, and the power sector, especially the critical distribution end, remained in the public sector, making the cost of doing business relatively much higher in India. Over the years, the competitive forces set in motion by the 1991 policy have got blunted and the manufacturing growth story has got into a low-growth rut.

Manufacturing growth, particularly after 2010, has been quite timid. Ten-year industrial growth has been under 4 per cent on average. Obviously, the present policy framework is not delivering. A fit-for-purpose policy framework to enable manufacturing to contribute about 60 per cent of the industrial GDP in 2035 would have to drastically alter the incentives